

Subject Code	AF6106
Subject Title	Contemporary Issues in Financial Reporting and Corporate Disclosures
Credit Value	3
Level	6
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject contributes to the achievement of the DBA/DMgt outcome by acquiring an in-depth knowledge of a specialist area including some basic understanding of the impacts from digital technology. (Outcome 2). The primary objectives of the subject are to provide students with an in-depth understanding of: (1) voluntary and mandatory financial reporting and corporate disclosures; (2) the link between disclosures and the capital markets, as well as with the institutional and legal environments of the economy;
Intended Learning Outcomes	Upon completion of the subject, students will be able to: (1) acquire a detailed and critical knowledge of the contemporary issues over the capital market and the economic consequences of the quality of financial reporting policies and choices; (2) critically analyze the impacts of voluntary and mandatory corporate disclosures on the economic, institutional and legal environment; (3) develop well-designed original research on current issues relating to financial reporting and the capital markets of equity and debts; (4) apply data science in global economic analysis and accounting/finance research
Subject Synopsis/ Indicative Syllabus	Topic 1: Financial Reporting Quality/Earnings-returns Relationship Topic 2: Earnings Management, Financial Reporting and Consequences Topic 3: Mandatory & Voluntary Disclosure Topic 4: Corporate Transparency & Roles of External Parties
Teaching/Learning Methodology	The format of the classes will be workshops in which the professor will provide a broad overview of the topics, following which related research papers will be discussed. There will also be team or individual presentation of research paper.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			(1)	(2)	(3)	(4)		
	Class participation	30%	√	√	√	√		
	Presentation	30%	√	√	√	√		
	Final examination	40%	√	√	√	√		
	Total	100 %						
	To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology- or data science related knowledge.							
Student Study Effort Expected	Class contact:							
	▪ Lectures						30 Hrs.	
	Other student study effort:							
	▪ Preparation for lectures and assigned readings						60 Hrs.	
	Total student study effort						90 Hrs.	
Reading List and References	Recommended textbook Scott, William R., <i>Financial Accounting Theory</i> , 2014, 7th edition, Pearson (Prentice Hall) Education Canada Inc., Toronto, Ontario							
	Topic 1: Financial Reporting Quality/Earnings-returns Relationship 1. Easton, P.D. and T.S. Harris, 1991. Earnings as an explanatory variable for returns. <i>Journal of Accounting Research</i> , 29(1), 19-36. 2. Dechow P.M. 1994. Accounting earnings and cash flows as measures of firm performance: The role of accounting accruals. <i>Journal of Accounting and Economics</i> , 18, 3-42. 3. Sloan, R.G., 1996. Do stock prices fully reflect information in accruals and cash flows about future earnings? <i>The Accounting Review</i> , 71(3), 289-315. 4. Schipper, K. and L.Vincent. 2003. Earnings quality. <i>Accounting Horizons</i> 17: 97-110. 5. Barth, M., W. Landsman, And M. Lang. 2008. International accounting standards and accounting quality. <i>Journal of Accounting Research</i> 46 (2008): 467–98. 6. LI, F. 2008. Annual report readability, current earnings, and earnings persistence. <i>Journal of Accounting and Economics</i> 45: 221–47							

	7. Chychyla, R., A. J. Leone, and M. Minutti-Meza. 2019. Complexity of financial reporting standards and accounting expertise. <i>Journal of Accounting and Economics</i> 67 (1): 226–53. Topic 2: Earnings Management, Financial Reporting and Consequences 1. Tucker, J.W., and P.A. Zarowin, 2006. Does income smoothing improve earnings informativeness? <i>The Accounting Review</i>, January 81(1), 251-270. 2. Hutton, A.P., A.J. Marcus, and H. Tehranian, 2009. Opaque financial reports, R2, and crash risk. <i>Journal of Financial Economics</i>, 94, 67-86. 3. Burgstahler, D., and I. Dichev. 1997. Earnings management to avoid earnings decreases and losses. <i>Journal of Accounting and Economics</i> 24: 99–126. 4. Daske, H., L. Hail, C. Leuz, And R. Verdi. 2008. Mandatory IFRS reporting around the world: early evidence on the economic consequences. <i>Journal of Accounting Research</i> 46: 1085–142. 5. Zang, A. Y. 2012. Evidence on the tradeoff between real manipulation and accrual manipulation. <i>The Accounting Review</i> 87: 675–703. 6. Godsell, D., M. Welker, and N. Zhang. 2017. Earnings management during antidumping investigations in europe: sample-wide and cross-sectional evidence. <i>Journal of Accounting Research</i> 55, 407-457. 7. Blankespoor, E., Miller, B.P., White, H.D., 2014. Initial evidence on the market impact of the XBRL mandate. <i>Review of Accounting Studies</i> 19 (4), 1468-1503. Topic 3: Mandatory & Voluntary Disclosure 1. Bao, D., Y. Kim, L. Su. 2021. Do firms redact information from material contracts to conceal bad news? <i>The Accounting Review</i>, Forthcoming. 2. Yongtae Kim, Lixin (Nancy) Su, Zheng Wang, Haibin Wu. 2021. The effect of trade secrets law on stock price synchronicity: Evidence from the inevitable disclosure doctrine. <i>The Accounting Review</i>, 96(1), 325-348. 3. Paul Hribar, Holly Yang. 2016. CEO overconfidence and Management Forecasting. <i>Contemporary Accounting Research</i>, 33(1), 204-227. 4. Christensen, H.B., Floyd, E., Liu, L. Y., & Maffett, M. 2017. The real effects of mandated information on social responsibility in financial reports: evidence from mine-safety records. <i>Journal of Accounting and Economics</i>, 64(2-3), 284-304. 5. Dichu Bao, Lixin (Nancy) Su, Yong Zhang. The real effect of disclosure regulation: Evidence from mandatory CFO compensation disclosure. <i>Journal of Accounting and Public Policy</i>. Forthcoming. 6. CHIU, Tzu-Ting; KIM, Jeong-Bon; WANG, Zheng. 2019. Customers’ risk factor disclosures and suppliers’ investment efficiency. <i>Contemporary Accounting Research</i>, 36(2), 773–804. 7. Jeong-Bon Kim, Chong Wang, and Feng (Harry) Wu. The real effects of risk disclosures: evidence from climate change reporting in 10-Ks. <i>Review of Accounting Studies</i>, Forthcoming.
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Topic 4: Corporate Transparency & Roles of External Parties

1. Bhattacharya, U., H. Daouk, and M. Welker, 2003. The world price of earnings opacity. *The Accounting Review*, 78(3), 641-678.
2. Lang, M., K. V. Lins, and M. Maffett, 2012. Transparency, liquidity, and valuation: International evidence on when transparency matters most. *Journal of Accounting Research*, 50(3), 729-774.
3. Daske, H., L. Hail, C. Leuz, and R. Verdi, 2013. Adopting a label: Heterogeneity in the economic consequences around IAS/IFRS adoptions. *Journal of Accounting Research*, 51(3), 495-547.
4. Dichu Bao, Simon Yu Kit Fung and Lixin (Nancy) Su, 2018. Can shareholders be at rest after clawback adoption? - Evidence from stock price crash risk. *Contemporary Accounting Research*, 35(3), 1578-1615.
5. Yuyan Guan, Lixin (Nancy) Su, Donghui Wu, Zhifeng Yang, 2016. Do school ties between auditors and client executives influence audit outcomes? *Journal of Accounting and Economics*, 61: 506-525.
6. Sibio Liu, Lixin (Nancy) Su, Kevin Zhu, Does auditing shape global value chains? Evidence from PCAOB inspections.
7. Jayanthi Krishnan, Lixin (Nancy) Su and Yinqi Zhang, 2011. Non-audit services and earnings management in the pre-SOX and post-SOX eras. *Auditing: A Journal of Practice and Theory*, 30(3), 103–123.